of the record and serve one copy of the index on each party, subject to the requirements in Rule 442(d)(2) relating to sensitive personal information; if applicable, these filings would have to be certified that they have complied with the requirements relating to sensitive personal information. These requirements are appropriate to ensure that sensitive personal information is not improperly or inadvertently disseminated by an SBSEF as part of its filing of the record relating to the appeal review.

The Commission received no comment on Proposed Rule 442 and is adopting Rule 442 as proposed, with the modification to Rule 442(b) described above.

F. Rule 443—*Sua sponte* Review by Commission

New Rule 443[756] provides that the Commission, on its own initiative, can order review of any determination by an SBSEF (which would include a final disciplinary action, a final action with respect to a denial or conditioning of membership, or a final action with respect to a denial or limitation of access to any services) that could be subject to an application for review pursuant to Rule 442(a) within 40 days after the SBSEF filed notice thereof.

Rule 443 further provides that the Commission can, at any time before issuing its decision, raise or consider any matter that it deems material, whether or not raised by the parties. If it does so, the Commission must, under Rule 443, give notice to the parties and an opportunity for supplemental briefing with respect to issues not briefed by the parties, where the Commission believes that such briefing could significantly aid the decisional process. It is appropriate that the Commission have the ability to review any determination filed by an SBSEF that could be subject to an application for review under Rule 442(a), even without an appeal of that determination by an aggrieved party, should the Commission believe that further consideration is

[756] 17 CFR 201.443.

warranted. Therefore, the rule provides the Commission authority to obtain additional information through supplemental briefings, as needed.

The Commission received no comment on Proposed Rule 443 and is adopting Rule 443 as proposed.

G. Amendment to Rule 450

Existing Rule 450 of the Commission's Rules of Practice[757] sets out requirements for briefs filed with the Commission. Rule 450(a) sets out a briefing schedule, and paragraph (a)(2) provides that the briefing schedule order shall be issued within 21 days, or such longer time as provided by the Commission, of receipt by the Commission of various types of appeals. The Commission proposed to amend Rule 450 by adding a new paragraph (a)(2)(iv) providing that the 21 days would be triggered by "[r]eceipt by the Commission of an Index to the record of a determination by a security-based swap execution facility filed pursuant to § 201.442(d)."

The Commission received no comment on the proposed amendment to Rule 450 and is adopting this amendment to Rule 450 as proposed.

H. Amendment to Rule 460

Existing Rule 460 of the Commission's Rules of Practice[758] states that the Commission shall determine each matter on the basis of the record. Rule 460(a) defines the contents of the record with respect to various types of action. The Commission proposed a new paragraph (a)(4) of Rule 460, which states that, in a proceeding for a final decision before the Commission reviewing a determination of an SBSEF, the record shall consist of: (i) the record certified by the

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[757] 17 CFR 201.450.

[758] 17 CFR 201.460.

SBSEF pursuant to § 201.442(d); (ii) any application for review; and (iii) any submissions, moving papers, and briefs filed on appeal or review.

The Commission received no comment on the proposed amendment to Rule 460 and is adopting this amendment to Rule 460 as proposed.

XV. AMENDMENTS TO DELEGATIONS OF AUTHORITY IN RULE 30-3 AND RULE 30-14

In connection with the adoption of Regulation SE, the Commission is revising its rules delegating authority to the Director of the Division of Trading and Markets ("TM Division Director") and to the General Counsel in order to delegate authority to take actions necessary to carry out the rules under Regulation SE and to facilitate the operation of the regulatory structure created in Regulation SE.[759] These revisions are intended to conserve Commission resources and increase the effectiveness and efficiency of the Commission's process for handling certain processes required by Regulation SE and for resolving appeals of SBSEF final actions.[760] Congress has authorized such delegation by Public Law 87-592, 76 Stat. 394, 15 U.S.C. 78d-1(a), which provides that the Commission "shall have the authority to delegate, by published order or rule, any of its functions to … an employee or employee board, including functions with respect to hearing, determining, ordering, certifying, reporting, or otherwise acting as to any work, business or matter."

The Commission finds, in accordance with the Administrative Procedure Act ("APA"), that these amendments to the delegations of authority relate solely to agency organization,

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759 17 CFR 200.30-3.

760 In the Proposing Release, the Commission stated that it "may address delegations of its authority in the adopting release for Regulation SE." Proposing Release, *supra* note 1, 87 FR at 28877.

procedure, or practice.[761] Accordingly, the APA's provisions regarding notice of rulemaking and opportunity for public comment are not applicable to these rules. These rules do not substantially affect the rights or obligations of non-agency parties and pertain to increasing efficiency of internal Commission operations. For the same reasons, the provisions of the Small Business Regulatory Enforcement Fairness Act are not applicable to these rules.[762] Additionally, the provisions of the Regulatory Flexibility Act,[763] which apply only when notice and comment are required by the APA or other law, are not applicable to these rules.[764] The amendments to these rules do not contain any collection of information requirements as defined by the Paperwork Reduction Act of 1995.[765] To the extent that these rules relate to agency information collections during the conduct of administrative proceedings, they are exempt from review under the PRA. Further, because these amendments impose no new burdens on private parties, the amendments will not have any impact on competition for purposes of section 23(a)(2) of the Exchange Act.[766]

Accordingly, the Commission is amending its rules, by adding new paragraphs (95)–(102) to Rule 30-3, to delegate authority to the Division Director to perform certain actions necessitated by Regulation SE. The Commission is also amending paragraphs (4), (5), (7), and (8) of Rule 30-14 (17 CFR 200.30-14) to delegate authority to the General Counsel to perform certain actions in connection with Commission review proceedings of SBSEF actions. Under these delegations, the Division Director or the General Counsel, as applicable, (or, under his or

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761 5 U.S.C. 553(b)(3)(A).

762 *See* 5 U.S.C. 804(3)(C) (the term "rule" does not include "any rule of agency organization, procedure, or practice that does not substantially affect the rights or obligations of non-agency parties").

763 5 U.S.C. 60 *et seq.*

764 *See* 5 U.S.C. 601(2).

765 *See* 5 CFR 1320.3.

766 15 U.S.C. 78w(a)(2).

her direction, such person or persons as might be designated from time to time by the Chairman of the Commission[767]) is authorized to perform the actions discussed below. Notwithstanding these delegations, the Division Director or the General Counsel, as applicable, may submit any matter he or she believes appropriate to the Commission.[768] Furthermore, any action taken by the Division Director or the General Counsel, as applicable, pursuant to delegated authority would be subject to Commission review as provided by Rules 430 and 431 of the Commission's Rules of Practice, 17 CFR 201.430-201.431 and 15 U.S.C. 78d-1(b).

A. Delegated Authority Related to SBSEF Registration and Form SBSEF

With respect to certain Commission actions related to the registration process for SBSEFs and the review of Form SBSEF under Rule 803 and Rule 808, the Division Director has delegated authority: to publish notice on the Commission's website of a completed Form SBSEF and make available on the Commission's website certain specified parts of a Form SBSEF; to notify the applicant that its application is incomplete; to request from the applicant additional information and documentation necessary; to notify the applicant that its application is materially incomplete and to specify the deficiencies in the application, for purposes of staying the 180-day period for Commission review of the Form SBSEF; and to issue an order vacating the SBSEF's registration and to send a copy of the related request and order of vacation to all other SBSEFs, SBS exchanges, and registered clearing agencies that clear security-based swaps.[769]

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767 *See* 17 CFR 200.30-3 and 17 CFR 200.30-14 (sub-delegation language applicable as a result of the addition of subparagraphs related to Regulation SE to the existing rules).

768 17 CFR 200.30-3(l) and 17 CFR 200.30-14(l).

769 *See* 17 CFR 200.30-3(a)(95), as adopted herein.

B. Delegated Authority Related to New Products Proposed by an SBSEF

With respect to certain Commission actions related to self-certification of new products by an SBSEF under Rule 804, the Division Director has delegated authority: to stay for a period of up to 90 days the effectiveness of a security-based swap execution facility's self-certification of a new product; to publish notice on the Commission's website of a 30-day period for public comment; and to withdraw the stay or notify the security-based swap execution facility that the Commission objects to the proposed certification.[770]

With respect to certain Commission actions related to voluntary submission of new products by an SBSEF under Rule 805, the Division Director has delegated authority: to notify the submitting SBSEF that a submission for a new product does not comply with paragraph (a) of Rule 805; to make the SBSEF's submission publicly available on the Commission's website; to extend by an additional 45 days the period for consideration of a new product voluntarily submitted by an SBSEF if the product raises novel or complex issues that require additional time to analyze, and to notify the SBSEF of the same; to issue an extension of such longer period as to which the SBSEF agrees in writing; to approve a proposed new product and provide notice of the approval to the SBSEF; to notify the SBSEF that the Commission will not, or is unable to, approve the product, and to specify the nature of the issues raised and the specific provision of the SEA or the Commission's rules thereunder, that the product violates, appears to violate, or potentially violates but which cannot be ascertained from the submission.[771]

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[770] *See* 17 CFR 200.30-3(a)(96), as adopted herein.

[771] *See* 17 CFR 200.30-3(a)(97), as adopted herein.

C. Delegated Authority Related to New Rules or Rule Amendments Proposed by an SBSEF

With respect to certain Commission actions related to proposed rules or rule amendments proposed by an SBSEF under Rule 806, the Division Director will have delegated authority: to notify the submitting SBSEF that a submission for a new rule or rule amendment does not comply with paragraph (a) of Rule 806; to make the SBSEF's submission publicly available on the Commission's website; to extend by an additional 45 days the period for consideration of a proposed rule or rule amendment voluntarily submitted by an SBSEF if the proposed rule or rule amendment raises novel or complex issues that require additional time to review or is of major economic significance, the submission is incomplete, or the requester does not respond completely to the Commission questions in a timely manner, and to notify the SBSEF of the same; to issue an extension of such longer period as to which the SBSEF agrees in writing; to approve a proposed rule or rule amendment and provide notice of the approval to the SBSEF; to notify the SBSEF that the Commission will not, or is unable to, approve the new rule or rule amendment, and to specify the nature of the issues raised and the specific provisions of the SEA or the Commission's rules thereunder, including the form or content requirements of Rule 806, with which the new rule or rule amendment is inconsistent or appears to be inconsistent; and to approve a proposed rule or a rule amendment, including changes to terms and conditions of a product, on an expedited basis under such conditions as shall be specified in the written notification.[772]

In addition, the Division Director has delegated authority to undertake certain Commission actions related to proposed rules or rule amendments self-certified by an SBSEF

[772] *See* 17 CFR 200.30-3(a)(98), as adopted herein.

under Rule 807. Specifically, the Division Director has delegated authority: to make publicly available on the Commission's website a security-based swap execution facility's filing of new rules and rule amendments pursuant to the self-certification procedures of Rule 807; to stay for a period of up to 90 days the effectiveness of an SBSEF's self-certification of a new rule or rule amendment; to publish notice on the Commission's website of a 30-day period for public comment; and to withdraw the stay or notify the security-based swap execution facility that the Commission objects to the proposed certification.[773]

D. Delegated Authority Related to Request for Joint Interpretation

With respect to a request by an SBSEF, the Commission, or the CFTC, for a joint interpretation of whether a proposed product is a swap, security-based swap, or mixed swap under existing SEA Rule 3a68-2, as contemplated by Rule 809, the Division Director has delegated authority to provide written notice to an SBSEF of a stay or tolling pending issuance of a joint interpretation.[774]

E. Delegated Authority Related to SBSEF Submissions Contemplated by Rule 811

With respect to information relating to SBSEF compliance under Rule 811, the Division Director has delegated authority: to request pursuant to Rule 811(a) that an SBSEF file with the Commission information related to its business as a security-based swap execution facility, and to specify the form, manner, and timeframe for the filing; to request pursuant to Rule 811(b) that an SBSEF file with the Commission a written demonstration that it is in compliance with one or more Core Principles or with its other obligations under the SEA or the Commission's rules

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[773] *See* 17 CFR 200.30-3(a)(99), as adopted herein.

[774] *See* 17 CFR 200.30-3(a)(100), as adopted herein.

thereunder and to specify the form, manner, and timeframe for such a filing; to specify, pursuant to Rule 811(c)(2), the form and manner of the notification required pursuant to Rule 811(c)(1) by an SBSEF of any transaction involving the direct or indirect transfer of 50 percent or more of the equity interest in the security-based swap execution facility, and to request supporting documentation of the transaction; to specify the form and manner of the certification required pursuant to Rule 811(c)(4) that an SBSEF meets all of the requirements of section 3D of the SEA and the Commission rules thereunder; and to specify the form and manner of the submission by an SBSEF of documents filed in any material legal proceeding to which the security-based swap execution facility is a party or its property or assets is subject, as specified in Rule 811(d)(1), or in any material legal proceeding instituted against any officer, director, or other official of the SBSEF from conduct in such person's capacity as an official of the SBSEF, as specified in Rule 811(d)(2), and to request further documents.[775]

F. Delegated Authority Related to Information Sharing

With respect to certain Commission actions related to information sharing under Rule 822, the Division Director has delegated authority to require that an SBSEF provide information in its possession to the Commission and to specify the form and manner of that provision, and to require an SBSEF share information with other regulatory organizations, data repositories, and third-party data reporting services as necessary and appropriate to fulfill the SBSEF's regulatory and reporting responsibilities.[776]

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[775] *See* 17 CFR 200.30-3(a)(101), as adopted herein.

[776] *See* 17 CFR 200.30-3(a)(102), as adopted herein.

G. Delegated Authority Related to Commission Review Proceedings

With respect to Commission review proceedings for final disciplinary actions taken by an SBSEF, for denials or conditionings of membership, and for limitations or denials of access, the General Counsel has delegated authority: to determine that an application for review has been abandoned and then to issue an order dismissing the application; to determine applications to stay Commission orders pending appeal of those orders to the federal courts and to determine application to vacate such stays; to grant or deny requests for oral argument before the Commission; and to determine whether to lift the automatic stay of a disciplinary sanction imposed by an SBSEF.[777]

XVI. COMPLIANCE SCHEDULE

In the Proposing Release, the Commission stated that it intended to include a compliance schedule along with any final rules, and it sought public comment to assist it in developing an appropriate compliance schedule.[778] The Commission received several comments.

One commenter agrees that SEF operators can leverage their experience with SEF registration and operation in order to comply with any final SBSEF rules, but states that creating and maintaining a new platform, regardless of any similarities to existing systems, will inevitably require substantial time and resources to ensure operational, technical, and regulatory compliance. This commenter suggests that the Commission provide a compliance timeline of at least 12 months following the effective date of any final rules.[779]

Another commenter states that, while substantial harmonization should lower compliance and operations costs by allowing SBSEFs and market participants to use their existing

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[777] *See* 17 CFR 200.30-14(4) through (5) and (7) through (8), as adopted herein.

[778] *See* Proposing Release, *supra* note 1, 87 FR at 28937.

[779] *See* Tradeweb Letter, *supra* note 18, at 6–7.